Practice workbook · Why accruals, prepayments and owner's own use are adjusted (concepts)

Explaining or evaluating why amounts owing and paid in advance are adjusted at the year end (accruals concept), and why goods or cash taken by the owner must be recorded as drawings (business entity concept).

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-12

1. Question 2 · part d · 5 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

2 Jeff is a manufacturer of motor vehicles.

(a) Define the following terms:

(3)

raw materials

work in progress

finished goods.

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1. Question 2 · part d · 5 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

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QUESTION 2 (b) BEGINS ON THE NEXT PAGE.

1. Question 2 · part d · 5 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

Jeff provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Inventory		
Finished goods	25 500	31 750
Raw materials	18 750	16 250
Work in progress	21 570	18 590
Factory machinery		
Cost	90 000	90 000
Provision for depreciation	43 920	**To be calculated**
Carriage inwards		8 955
Insurance		12 500
Heat, light and power		37 250
Purchases of raw materials		238 795
Production wages		98 000
Supervisor wages		28 575
Royalties		50 000

- Insurance, heat, light and power are apportioned between the factory and the office in the ratio of 80:20
- Heat, light and power paid in advance, $1 750
- Production wages for workers owing, $1 250
- Supervisor wages owing, $2 325
- Depreciation for factory machinery is charged at 20% per annum using the reducing balance method.

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1. Question 2 · part d · 5 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

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(b) Prepare the manufacturing account for the year ended 31 December 2019.

(11)

Jeff

Manufacturing account for the year ended 31 December 2019

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1. Question 2 · part d · 5 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

(c) State, indicating with a tick, (✓), where **each** item will be shown in the statement of financial position.

(6)

	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Accumulated depreciation				
Bank loan 2026				
Work in progress				
Bank overdraft				
Other receivables				
Provision for irrecoverable debts				

(d) Evaluate why it is necessary for a business to account for **other receivables** and **other payables**.

(5)

(Total for Question 2 = 25 marks)

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1. Question 2 · part d · 5 marks · Working and answer

Working and answer

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2. Question 17 · part b.ii · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part b.ii only.

17 Jack provided the following information for the year ended 30 April 2023.

1 May 2022	Stationery account balance $250
10 May 2022	Purchased stationery, $80, paying by cheque.
17 May 2022	Returned stationery, $15, refund received by cheque.
29 August 2022	Jack took stationery, $25, for his personal use.
30 April 2023	Closing stationery was valued at $190

(a) (i) Prepare the stationery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(7)

Stationery Account

Date	Details	$	Date	Details	$

(ii) State the accounting concept that applies when taking stationery for personal use.

(1)

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2. Question 17 · part b.ii · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part b.ii only.

On 1 May 2022 insurance paid in advance was $360

On 1 July 2022, insurance, $1980, was paid by cheque. This covered the twelve month period ending 30 June 2023.

(b) (i) Prepare the insurance account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(5)

Insurance Account

Date	Details	$	Date	Details	$

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(ii) Explain, referring to an accounting concept, why it was necessary to adjust for the amount paid in advance on 30 April 2023.

(2)

Accounting concept

.....

Explanation

.....

.....

.....

(Total for Question 17 = 15 marks)

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2. Question 17 · part b.ii · 2 marks · Working and answer

Working and answer

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3. Question 2 · part c · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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3. Question 2 · part c · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

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3. Question 2 · part c · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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3. Question 2 · part c · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

(d) (i) Evaluate the change in liquidity.

(4)

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3. Question 2 · part c · 2 marks · Working and answer

Working and answer

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4. Question 2 · part d · 4 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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4. Question 2 · part d · 4 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

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4. Question 2 · part d · 4 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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4. Question 2 · part d · 4 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

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4. Question 2 · part d · 4 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) State **one** difference between profitability and liquidity.

(2)

(d) Explain, referring to a relevant accounting concept, why it is necessary to adjust for other receivables and other payables at the year-end.

(4)

Concept

Explanation

(Total for Question 2 = 25 marks)

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4. Question 2 · part d · 4 marks · Working and answer

Working and answer

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5. Question 1 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 Tim, a sole trader, provided the following information for the year ended 30 April 2023.

	1 May 2022 $	30 April 2023 $
Inventory	27 280	20 130
Trade receivables	31 550	41 790

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

(5)

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During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

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5. Question 1 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(b) Prepare the income statement for the year ended 30 April 2023.

(15)

Tim
Income statement for the year ended 30 April 2023

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5. Question 1 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Explain why Tim made an adjustment for goods taken for personal use. You **must** refer to an accounting concept.

(3)

(d) Explain how Tim applies the consistency concept when depreciating non-current assets.

(2)

(Total for Question 1 = 25 marks)

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5. Question 1 · part c · 3 marks · Working and answer

Working and answer

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6. Question 2 · part a.ii · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part a.ii only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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6. Question 2 · part a.ii · 2 marks

2025 JUN · Paper 02

Further practice · Attempt part a.ii only.

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Ruhi, a sole trader, provided the following information for the year ended 31 March 2025 after the preparation of the income statement.

	$
Bank loan (2029)	9 500
Bank overdraft	160
Drawings	32 300
Equity at 1 April 2024	23 900
Inventory	14 650
Non-current assets – carrying value	21 820
Other payables	1 380
Other receivables	330
Trade payables	8 660
Trade receivables	12 300

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Additional information

Profit for the year, $37 800, was before accounting for:

- rental income received in advance, $650
- goods taken for own use, $280
- an understatement of $400 on the depreciation charge
- the creation of a provision for irrecoverable debts at 2% of the trade receivables.

(b) Calculate the revised profit for the year ended 31 March 2025.

(5)

	$
Draft profit for the year	37 800
Rental income in advance	
Goods for own use	
Depreciation understated	
Provision for irrecoverable debts	
Revised profit for the year	

6. Question 2 · part a.ii · 2 marks · Working and answer

Working and answer

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7. Question 1 · part b · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

1 On 30 September 2025 Joleene, a manufacturer, provided the following information.

	$
Factory machinery at 1 October 2024	
– Cost	280 000
– Provision for depreciation	100 800
Office equipment at 1 October 2024	
– Cost	50 000
– Provision for depreciation	18 000
Inventory at 1 October 2024	
– Raw materials	48 900
– Work-in-progress	23 100
– Finished goods	12 870
Inventory at 30 September 2025	
– Raw materials	54 320
– Work-in-progress	24 270
– Finished goods	10 850
Direct factory expenses	18 250
Indirect factory expenses	24 500
Insurance	32 000
Lighting and heating	50 000
Machinery repairs	1 880
Purchases of finished goods	11 930
Purchases of raw materials	134 020
Rent and rates	26 900
Returns inwards	32 100
Returns outwards (finished goods)	1 200
Returns outwards (raw materials)	4 500
Revenue	543 100
Transport costs	8 000
Wages and salaries	120 000

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7. Question 1 · part b · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

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Additional information at 30 September 2025

- Transport costs are apportioned 80% to purchases of raw materials and 20% to delivery of finished goods to customers.
- Non-current assets are depreciated at 20% per annum on a reducing balance basis. During the year there were no purchases or disposals of non-current assets.
- Wages and salaries include the factory supervisor's salary of $35 000. The remainder is to be apportioned 30% to direct labour, 35% to indirect labour and 35% to office administration.
- Both insurance and lighting and heating are apportioned equally between manufacturing and administration.
- Rent and rates included a payment of $2 000 for the month of October 2025.
- Rent and rates are apportioned 75% to manufacturing and 25% to administration.
- During the year Joleene took for her own use raw materials, $500, and finished goods, $750

Space for workings

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7. Question 1 · part b · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

(a) Prepare for the year ended 30 September 2025:

(i) the manufacturing account

(15)

Joleene
Manufacturing account for the year ended 30 September 2025

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7. Question 1 · part b · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

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7. Question 1 · part b · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

(ii) an income statement extract showing the **trading section** only.

(5)

Joleene
Income statement extract for the year ended 30 September 2025

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7. Question 1 · part b · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

(b) Explain, referring to a relevant accounting concept, whether Joleene needs to maintain a record of any goods or cash withdrawn from the business for personal use.

(5)

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(Total for Question 1 = 25 marks)

7. Question 1 · part b · 5 marks · Working and answer

Working and answer

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